

expenses (which I'll talk about in a minute) by the value of all securities held by the fund. The fund's operating expenses are passed on to its investors, so the higher the expense ratio, the less you'll earn on your investment. If, for example, you invest in a fund that earns a 10% annual return on the securities it holds but has a 2% expense ratio, your investment will grow at a rate of only 8% per year.

One component of a fund's total annual operating expenses is the **management fee** paid to the fund manager (or fund company) for investing and managing the fund's money. Management fees typically range from 0.5% to 1.0% of the fund's assets per year. Other expenses include legal fees and administrative charges. Some fund companies also charge investors what's known as a **12b-1 fee**, which is used to cover the fund's marketing costs. Why should you pay for this? You shouldn't. Find a fund without 12b-1 fees.

ETFs: TO BUY OR NOT TO BUY?

Always eager to get more business, several Wall Street companies have been marketing so-called **ETFs** (exchange-traded funds), which are increasingly popular, but you probably don't need them.

Basically, an ETF is a lot like an index fund with one key difference. While you can (and should) buy index funds through a mutual fund company, ETFs are bought and sold like stocks, which means you'll have to go to a brokerage firm (and pay fees) to invest in them. These fees can offset the slightly lower annual expenses that ETFs charge.

That said, if you're really eager to make some sort of investment in the stock market, but you have very little money, an ETF may be your only option. You can buy just a share of an S&P 500 ETF (called a Standard & Poor's Depositary Receipt or SPDR), for example, for around \$100—a lot less than buying into a low-cost mutual fund. But make sure to use a discount broker so that any gains aren't eaten away by excessive commissions. To learn about how to find a good discount broker, go to box Buying Individual Stocks.
